Analyzing Business Markets

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Learning Objectives

1. What is organizational buying?
2. What buying situations do business buyers face?
3. Who participates in the business-to-business buying process?
4. How do business buyers make their decisions?
5. In what ways can business-to-business companies develop effective marketing programs?
6. How can companies build strong loyalty relationships with business customers?

What is Organizational Buying?

- Business market
  - Consists of all the organizations that acquire goods and services used in the production of other products or services that are sold, rented, or supplied to others

Business markets

- Fewer, larger buyers
- Close supplier–customer relationships
- Professional purchasing
- Multiple buying influences

- Multiple sales calls
- Derived demand
- Inelastic demand
- Fluctuating demand
- Geographically concentrated buyers
- Direct purchasing

What is a typical throughput time to make a new business deal?

Buying Process Phases

- awareness,
- interest,
- evaluation,
- trial,
- adoption

i. Mass media can be most important during the initial awareness stage

ii. Salespeople often have their greatest impact at the interest stage

iii. Technical sources can be most important during evaluation

iv. Online selling efforts may be useful at all stages

Buying situations

Straight Rebuy –Call off buyer

Works on approved BOM list

Modified Rebuy

Works on approved supplier list

New Task –Sourcing / strategic buyer

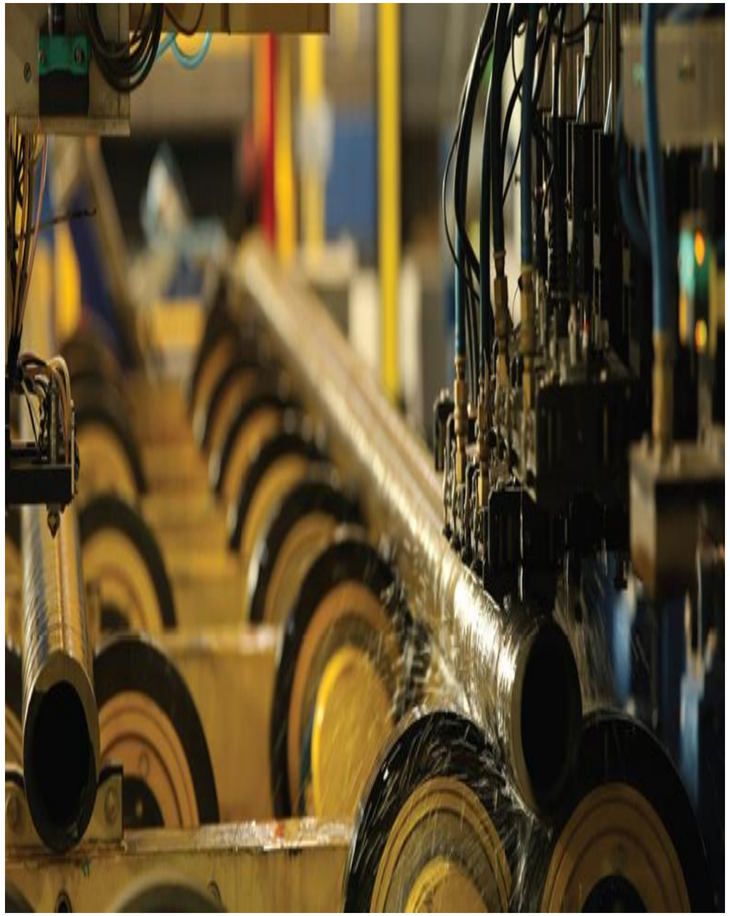
Need to find supplier

The buying center –decision making unit

- ✓ Initiators
- ✓ Users
- ✓ Influencers
- ✓ Deciders
- ✓ Approvers
- ✓ Buyers
- ✓ Gatekeepers

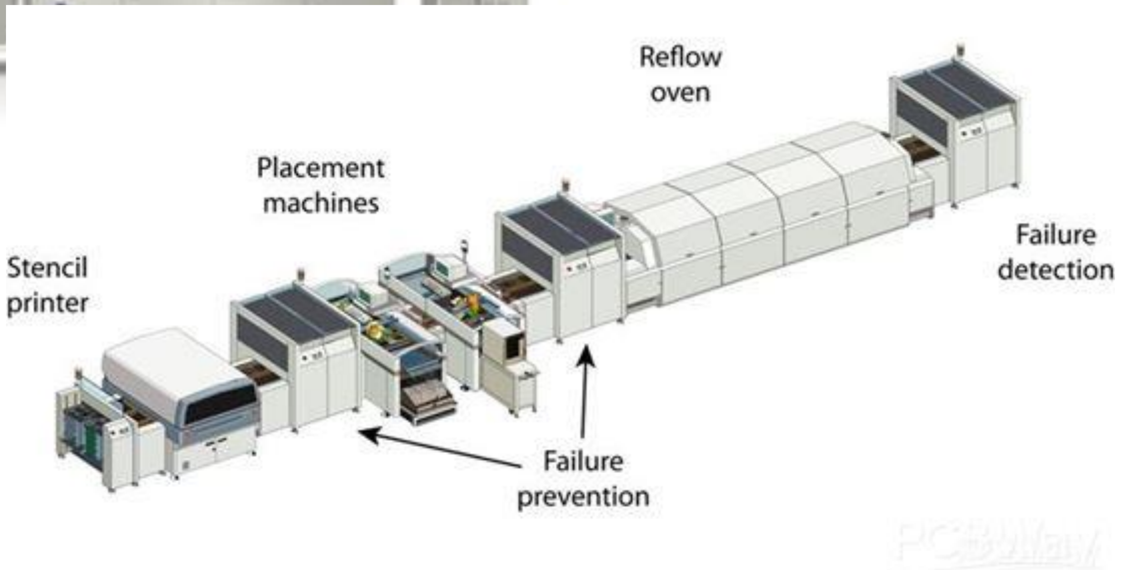
Targeting within the Business Center

- Who are the major decision participants?
- What decisions do they influence, and how deeply?
- What evaluation criteria do they use?



The Purchasing/ Procurement Process

- Business buyers seek the highest benefit package (economic, technical, service, and social) in relationship to a market offering's costs



Stages in the Buying Process

TABLE 7.1 Buygrid Framework: Major Stages (Buyphases) of the Industrial Buying Process in Relation to Major Buying Situations (Buyclasses)

		Buyclasses		
		New Task	Modified Rebuy	Straight Rebuy
Buyphases	1. Problem recognition	Yes	Maybe	No
	2. General need description	Yes	Maybe	No
	3. Product specification	Yes	Yes	Yes
	4. Supplier search	Yes	Maybe	No
	5. Proposal solicitation	Yes	Maybe	No
	6. Supplier selection	Yes	Maybe	No
	7. Order-routine specification	Yes	Maybe	No
	8. Performance review	Yes	Yes	Yes

Buying situations

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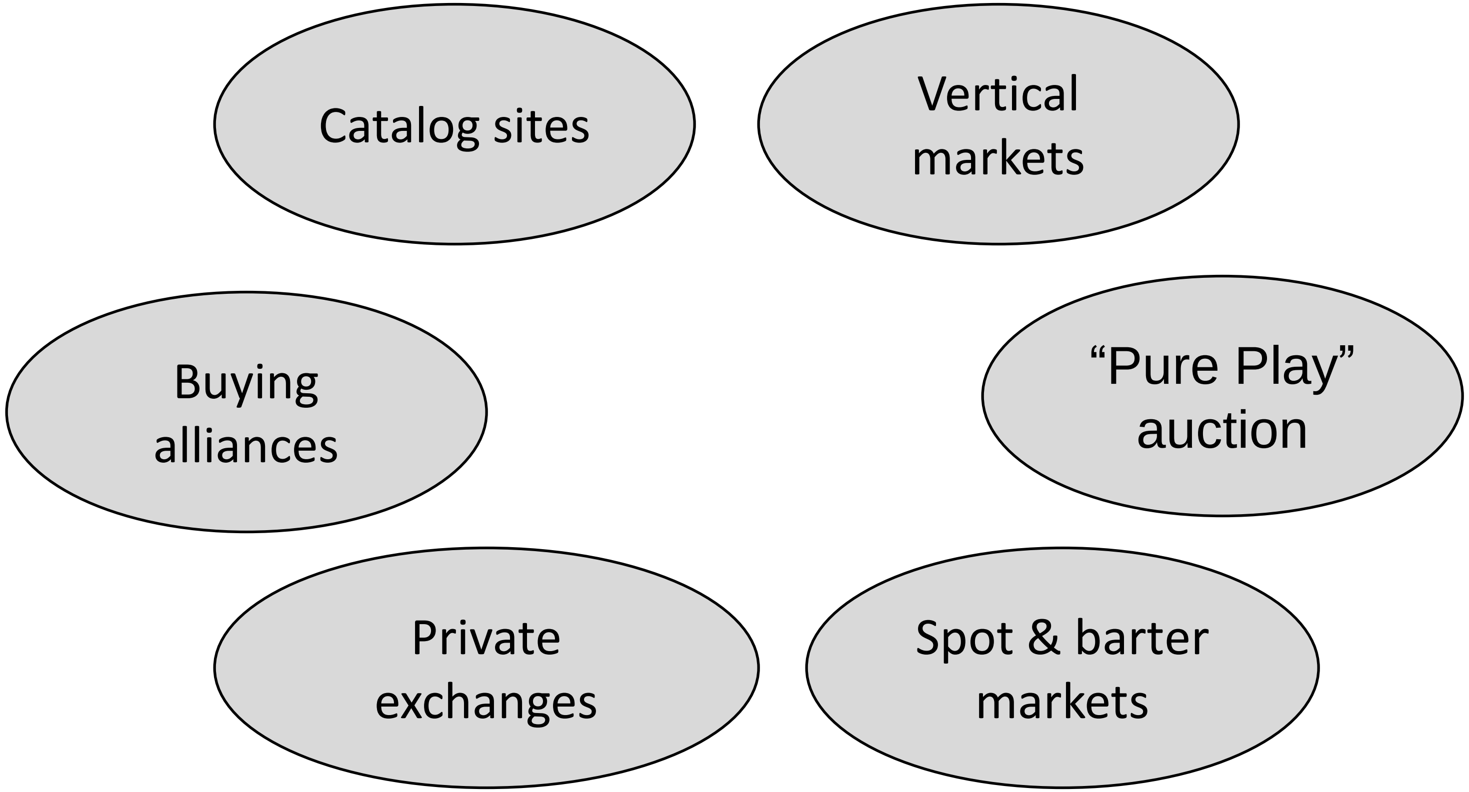
Stages in the Buying Process

- Problem recognition
  - Someone in the company recognizes a problem or need (Quality/Capacity) that can be met by acquiring a good or service
- General need description and product specification
  - Next, the buyer determines the needed item's general characteristics, required quantity, and technical/service specifications

Stages in the Buying Process

- Supplier search



E-procurement

- Vertical hubs
- Functional hubs
- Direct extranet links to major suppliers
- Buying alliances
- Company buying sites

Stages in the Buying Process

- **Proposal solicitation**
  - The buyer next invites qualified suppliers to submit written proposals
- **Supplier selection**
  - Before selecting a supplier, the buying center will specify and rank desired supplier attributes

A supplier-evaluation model

TABLE 7.2 An Example of Vendor Analysis

Attributes	Rating Scale				
	Importance Weights	**Poor (1)**	**Fair (2)**	**Good (3)**	**Excellent (4)**
Price	.30				x
Supplier reputation	.20			x	
Product reliability	.30				x
Service reliability	.10		x		
Supplier flexibility	.10			x	
Total Score: $.30(4) + .20(3) + .30(4) + .10(2) + .10(3) = 3.5$					

Supplier selection

- Overcoming price pressures
  - Solution selling
  - Risk and gain sharing
- Number of suppliers

Stages in the Buying Process

- Order-routine specification
  - After selecting suppliers, the buyer negotiates the final order, listing the technical specifications, the quantity needed, the expected time of delivery, return policies, warranties, etc.
- Performance review
  - The buyer periodically reviews the performance of the chosen supplier(s)

Developing Effective b2b Marketing Programs

- **Communication and branding activities**
- **Systems buying and selling**
  - Total problem solution from one seller (turnkey solution)
- **Role of services**

Buyer–supplier relationships

- Basic buying and selling
- Bare bones
- Contractual transaction
- Customer supply
- Cooperative systems
- Collaborative
- Mutually adaptive
- Customer is king

Managing b2b
Customer Relationships

- Risks and Opportunism in Business Relationships

Institutional and Government Markets

- Institutional market
  - Schools, hospitals, nursing homes, prisons, etc. that must provide goods and services to people in their care
- Government organizations
  - Are a major buyer of goods and services in most countries